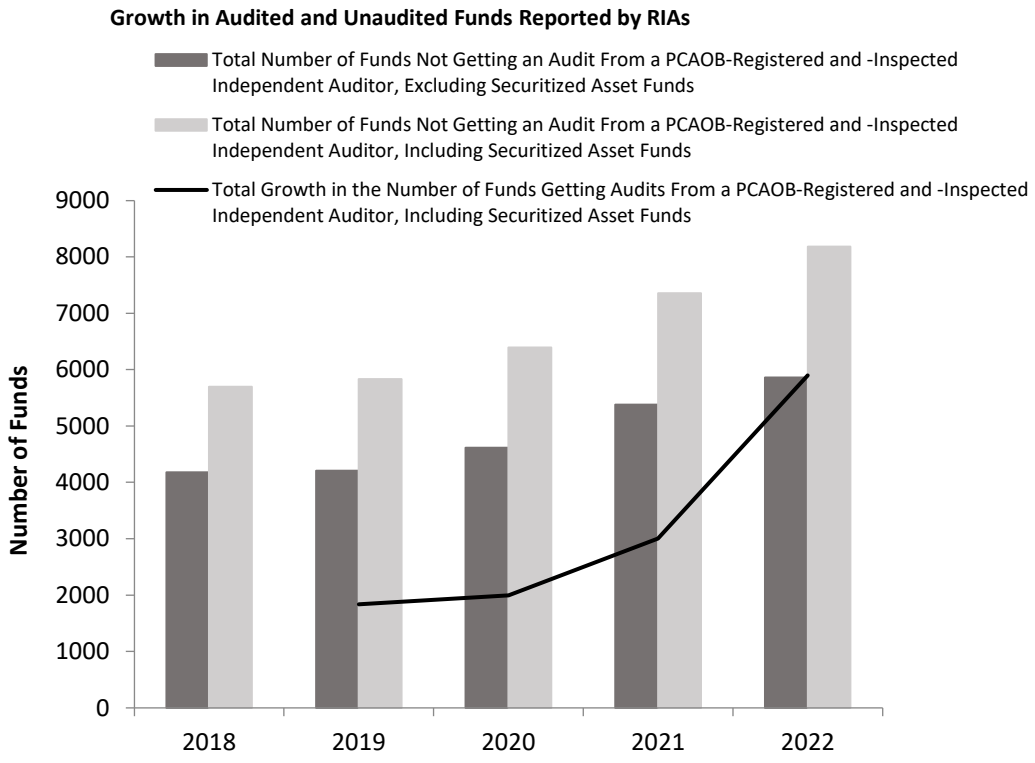
apply to advisers with respect to SAFs further alleviates commenters' concerns.[1638] Given that the rules will not apply to advisers with respect to SAFs, the final mandatory audit rule will only add approximately 5800 mandatory audits. These estimates are presented for comparison purposes in Figure 7.

Figure 7:




Source: Form ADV Schedule D, Section 7.B.(1) data filed between Oct. 1, 2021, and Sept. 30, 2022.

In other words, the audit industry has already organically, of its own accord, added a number of audits to its workload in the past year commensurate with the workload that will be added by the final rule. Moreover, the number of audits that will be added by the final rule is of the same order of magnitude as the number of audits added organically by the industry in each of

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1638 *See supra* section II.A.

the last several years. We believe this indicates that the audit industry is equipped to expand to meet the demand for additional audits without substantial additional costs, and so we do not believe that supply constraints on auditors because of the final rule will substantially increase the costs of private fund audits. This pattern and conclusion holds by type of private fund and by fund size.[1639] However, approximately 1,500 of these newly mandatory audits would be on funds of size $2 million and under. To the extent that limited supply of auditors does increase the cost of the rule, for example by resulting in increased prices of audits, these costs may be particularly borne by advisers and investors to these smaller funds.

Several commenters further specify that the concern over a lack of a sufficient number of suitable auditors will particularly apply to funds that rely on Big Four auditing firms for various non-audit services. Several commenters state that certain funds get an audit from a Big Four firm because of their investors' demands, but none of the Big Four firms meet the independence requirements associated with the current custody rule for the fund.[1640] As discussed above, less than one percent of all funds get an additional surprise exam in addition to an audit, which indicates that no more than one percent of funds are managed by advisers who may face difficulty in getting an audit by an independent firm.[1641] Figure 6 above also further shows that only a *de minimis* number of funds, namely 149 out of almost 50 thousand, excluding securitized asset funds, are managed by advisers who may face difficulty in securing a PCAOB-registered and -inspected auditor.[1642]

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1639 *Id*.

1640 *Id*. *See also, e.g.*, LaSalle Comment Letter; PWC Comment Letter.

1641 *Id*.

1642 *Id*. Based on staff review of Form ADV data, these funds range across all fund sizes and are not disproportionately larger or disproportionately smaller funds.

Because the case of funds that the adviser does not control and are neither controlled by nor under common control with the adviser (*e.g.*, where an unaffiliated sub-adviser provides services to the fund) only requires the adviser to take all reasonable steps to cause the fund undergo an audit that meets these elements,[1643] many investors in such funds will not bear any of the costs of the final rule.[1644] Similarly, because the final mandatory audit rule will not require advisers to obtain audits of CLOs and other SAFs, advisers to those funds will not face any costs under the rules with respect to those funds.[1645] Lastly, as noted above, we do not apply substantive provisions of the Advisers Act and its rules, including the mandatory audit requirement, with respect to non-U.S. clients (including private funds) of an SEC registered offshore investment adviser.[1646] We believe that this clarification will reduce many of the concerns expressed by commenters regarding the difficulty for non-U.S. private fund advisers finding an auditor in certain jurisdictions.

The proposed Commission notification requirement is not present in the final rule, and thus does not represent a new cost.[1647] While one commenter questioned the benefits of this notification requirement, commenters did not address the costs of this notification requirement in their comments.[1648]

Because the final rule aligns the private fund mandatory audit requirement with the custody rule audit requirement, advisers under the final rule will also face lower costs than under

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1643 *See supra* section II.C.

1644 *See supra* sections II.C, VI.C.4.

1645 *See supra* section II.C.

1646 *See, e.g.*, Exemptions Adopting Release, *supra* footnote 9.

1647 *See supra* VI.C.4.

1648 NYC Bar Comment Letter II.

the proposal by avoiding any confusion associated with differences in the requirements of the two rules. Several commenters stated that differences between the two rules could create a risk of confusion.[1649]

The indirect costs of the audit requirement will depend on the quality of the financial statements of the funds newly subject to audits. These costs may be relatively higher for the funds with lower quality financial statements (*i.e.*, the funds with the greatest benefit from the audit requirement). The indirect costs from the independent audit requirement may include costs of changing the fund's internal financial reporting practices, such as improvements to internal controls over financial reporting, to avoid potential harm to investors from a misstatement. Further, because the requirement to have the auditor registered with, and subject to the regular inspection by, the PCAOB may limit the pool of accountants that are eligible to perform these services,[1650] the resulting competition for these services might generally lead to an increase in their costs, as an effect of the final rule. Commenters did not address these types of indirect costs in their comments.

### 6. Adviser-Led Secondaries

In addition, the final adviser-led secondaries rule will require advisers to obtain fairness opinions or valuation opinions from an independent opinion provider in connection with certain adviser-led secondary transactions with respect to a private fund. In connection with this opinion, the final rule also requires a summary of any material business relationships the adviser or any of its related persons has, or has had within the past two years, with the independent opinion provider. The final adviser-led secondaries rule differs from the proposal in that it

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[1649] *See, e.g.*, IAA Comment Letter II; NYC Bar Comment Letter II; AIC Comment Letter I.

[1650] *See supra* footnote 1640 and accompanying text.

allows a fund to obtain either a fairness opinion or a valuation opinion in connection with certain adviser-led secondary transactions instead of requiring a fairness opinion and specifies a timeline for the delivery of this opinion to investors.[1651]

This requirement will not apply to advisers that are not required to register as investment advisers with the Commission, such as State-registered advisers and exempt reporting advisers. This requirement will also not apply where the transaction is a tender offer instead of an adviser-led secondary transaction as defined in the rule, and so neither the benefits nor the costs will apply in the case of tender offers.[1652] This will be the case if an investor is not faced with the decision between (1) selling all or a portion of its interest and (2) converting or exchanging all or a portion of its interest.[1653] Generally, if an investor is allowed to retain its interest in the same fund with respect to the asset subject to the transaction on the same terms (*i.e.*, the investor is not required to either sell or convert/exchange), as many tender offers permit investors to do, then the transaction will not qualify as an adviser-led secondary transaction. We discuss the costs and benefits of this rule provisions below. Several factors, however, make the quantification of many of the economic effects of the final amendments and rules difficult. For example, there is a lack of quantitative data on the extent to which adviser-led secondaries with neither fairness opinions nor valuation opinions differ in fairness of price from adviser-led secondaries with either fairness opinions or valuation opinions attached. It would also be difficult to quantify how investors and advisers may change their preferences over secondary transactions once fairness

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1651 *See supra* section II.C.8.

1652 *Id*.

1653 *Id*.

opinions are required to be provided. As a result, parts of the discussion below are qualitative in nature.

*Benefits*

The final rule's requirement that an adviser distribute a fairness opinion or valuation opinion and summary of material business relationships with the opinion provider in connection with certain adviser-led secondary transactions may provide benefits to investors in the specific context of adviser-led secondary transactions similar to the effects of the mandatory audit rule.[1654] This requirement will provide an important check against an adviser's conflicts of interest in structuring and leading these transactions. Investors will have decreased risk of experiencing harm from mis-valuation of secondary-led transactions. Further, anticipating a lower risk of harm from mis-valuation when participating in such transactions, investors may be more likely to participate. The result may be a closer alignment between investor choices and investor preferences over private fund terms, investment strategies, and investment outcomes. These benefits will, however, be reduced to the extent that advisers are already obtaining fairness opinions or valuation opinions as a matter of best practice.

While the final rule, in a change from the proposal, will also allow for the use of a valuation opinion instead of a fairness opinion, we understand that a valuation opinion will still provide investors with a strong basis to make an informed decision.[1655] A valuation opinion is a written opinion stating the value (either as a single amount or a range) of any assets being sold as part of an adviser-led secondary transaction.[1656] By contrast, a fairness opinion addresses the

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1654 *See supra* section VI.D.5.

1655 *See supra* sections II.D.2, VI.C.4; *see also* Houlihan Comment Letter.

1656 Houlihan Comment Letter.

fairness from a financial point of view to a party paying or receiving consideration in a transaction.[1657] One commenter stated that the financial analyses used to support a fairness opinion and valuation opinion are substantially similar.[1658] Both types of opinions generally yield implied or indicative valuation ranges.[1659]

Because the final rule differs from the proposal in that tender offers will not be captured by the definition in the rule when the investor is not faced with the decision between (1) selling all or a portion of its interest and (2) converting or exchanging all or a portion of its interest, advisers may have additional incentives to structure transactions as tender offers instead of as adviser-led secondary transactions.[1660] That is, advisers may have additional incentives to offer investors more choices than just a choice between selling all or a portion of their interests and converting or exchanging all or a portion of their interests. To the extent this occurs, investors may benefit from having greater flexibility in such transactions to, for example, continue to receive exposure to the assets that are at issue in the transaction by retaining its interest in the same fund on the same terms.[1661]

Because the final rule specifies that the adviser-led secondaries rule will not apply to advisers in the case of SAFs,[1662] there will be no accrual of benefits to investors associated with transactions such as CLO re-issuances.[1663] However, we believe these forgone benefits are

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1657 *See supra* sections II.D.2, VI.C.4

1658 *See supra* sections II.D.2, VI.C.4

1659 *Id*.

1660 *See supra* section II.D.1.

1661 *Id*.

1662 *See supra* section II.A.

1663 *See supra* section II.C.8.

negligible, in particular because SAF re-issuances typically specify that outstanding debt tranches are fully repaid at par. The investor benefits from the adviser-led secondaries rule primarily accrue from the check provided to investors against an adviser's potential conflict of interest that could provide an incentive for an adviser to mis-value assets when the answer is on both sides of a transaction. Because investors are fully paid at par, there is no risk of harm from the adviser mis-valuing the assets.[1664]

Some commenters agreed with the stated benefits of the final rule as outlined in the Proposing Release, and generally supported it.[1665] Other commenters were skeptical of the stated benefits of acquiring a fairness opinion for all adviser-led secondary transactions as would have been required by the proposal.[1666] While acknowledging that fairness opinions can be a useful tool in mitigating information asymmetries between the adviser and their investors, these commenters stated that funds often will not seek such an opinion because it would provide little benefit to investors and would come at a high cost.[1667] The commenters argued further that in cases where funds did not obtain a fairness opinion, other practices were in place to guarantee investor protection consistent with the adviser's fiduciary duty, such as a competitive bidding process or recent arms-length transaction.[1668] We recognize that there will be transactions for which a fairness opinion or valuation opinion will provide less benefit to investors because of the

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1664 *Id*. Equity investors in SAFs may face risks of harm from mis-valuations and may therefore have forgone benefits from not applying the rules to advisers with respect to SAFs. However, equity investors in SAFs are typically only a small portion of the fund, include the adviser and its related persons themselves as well as advisers to other large private funds, and do not typically include pension funds. *See supra* sections VI.C.1, VI.C.2. These factors mitigate the risks of any harm to the equity tranche, and so mitigate the forgone benefits from not applying the rules to advisers with respect to those funds.

1665 *See, e.g.*, ILPA Comment Letter I; CFA Comment Letter I; Morningstar Comment Letter.

1666 *See, e.g.*, PIFF Comment Letter; AIC Comment Letter II; Ropes & Gray Comment Letter.

1667 *Id*.

1668 *Id*.

existence of these other mechanisms for independent price valuation that may already be in place.

However, we continue to believe that this requirement will, in many cases, provide the above benefits to investors. Moreover, it is the staff's understanding that adviser-led secondaries also occur during times of stress, and may be associated with an adviser who needs to restructure a portfolio investment.[1669] In other instances, an adviser may use an adviser-led secondary transaction to extend an investment beyond the contractually agreed upon term of the fund that holds it.[1670] These may be particularly risky cases for investors as the risk of a conflict of interest may be high, and so fairness opinions or valuation opinions may provide particularly high benefits in those cases. Lastly, we also believe that ensuring that such opinions are delivered to investors in a time frame that would allow them to use that information in their decision-making process will increase the benefit of this rule to investors.

Similar to the final mandatory audit rule, the benefits from mandatory fairness opinions/valuation opinions are particularly relevant for illiquid investments. Illiquid assets currently are where we believe it is most feasible for adviser-led secondary transactions to occur at unfair prices, and where there is broadly a higher risk of investor harm from potential conflicts of interest or fraud and where there is the greatest risk of asymmetry of information between investors and the adviser. This is because currently, as discussed above, advisers may use a high level of discretion and subjectivity in valuing a private fund's illiquid investments, and the adviser further may have incentives to bias the fair value estimates of the investment to generate

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1669 *See supra* section VI.C.4.

1670 *Id*.

a more favorable price in the secondary transaction.[1671] Because both liquid funds and illiquid funds may have illiquid investments, investors in both types of funds will benefit, though the benefits may be larger for investors in illiquid funds (as such funds may have more illiquid investments than liquid funds and are more likely to have adviser-led secondary transactions).

Because Form PF's recently adopted new quarterly reporting requirements for private equity fund advisers will already collect quarterly information on the occurrence of adviser-led secondaries (after the effective date of the Form PF final amendments, albeit with a definition of "adviser-led secondary" that is not identical to the definition used for the adviser-led secondaries rule), any investor protection benefits of the final rules may be mitigated to the extent that Form PF is already a sufficient tool for investor protection purposes.[1672] However we do not believe the benefits will be substantially mitigated, because Form PF is not an investor-facing disclosure form. Information that private fund advisers report on Form PF is provided to regulators on a confidential basis and is nonpublic.[1673] The benefits from the final rules accrue substantially from fairness opinions and valuation opinions decreasing risks of investors experiencing harm from mis-valuation of secondary-led transactions. To the extent that advisers' incentives to independently pursue fairness opinions and valuation opinions are increased by Form PF's requirement (after the effective date of the new amendments) to report adviser-led secondaries to the Commission, that change in incentives from Form PF's amendments will reduce both the benefits and costs of the final rules (since the final result is, regardless, the adviser being

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1671 *See supra* section II.C.8.

1672 *See supra* section VI.C.4.

1673 *See supra* section VI.C.3.